Fair Lending and Non-Discrimination Standard

Ashva Capital Fair Lending Standard (Version 1.0)

1. General Principles

Ashva Capital is committed to fair lending practices and adheres to the following principles:

1.1 All credit decisions must be based solely on creditworthiness and must not be influenced by any protected attribute or proxy variable.

2. Protected Attributes

The following protected attributes must not be used in credit decisions:

2.1 Religion
2.2 Caste
2.3 Gender
2.4 Marital Status
2.5 Age (unless a minimum age requirement is reasonably related to the risk of the loan)
2.6 Disability
2.7 Region of Origin (including country of birth)

3. Proxy Variables

The following proxy variables are equally prohibited because they correlate with protected attributes:

3.1 Postal Code (alone)
3.2 Applicant First Name
3.3 Institution of Education
3.4 Language of Application

4. Disparate-Impact Testing

Ashva Capital must conduct disparate-impact testing on a quarterly basis for all credit products and decisions. The testing must be performed in accordance with the following requirements:

4.1 The testing must be conducted by an independent third-party vendor approved by the Chief Credit Officer.
4.2 The testing must cover all credit products and decisions made during the previous quarter.
4.3 The testing must analyze the impact of the credit decision on protected attribute groups, including but not limited to, African American, Hispanic, Native American, Asian, Caucasian, and other minority groups.
4.4 The testing must identify any disparate impacts or adverse effects on protected attribute groups.
4.5 The testing must be performed in accordance with the Ashva Capital Fair Lending Standard guidelines and must include a written report detailing the results of the testing.

5. Rule for Protected Attribute or Proxy Reference

If a credit decision rationale references a protected attribute or proxy variable, the decision is void and must be re-run without reference to the protected attribute or proxy variable.

6. Adverse-Action Notice Requirements

If a credit decision is adverse (i.e., a loan is denied or a borrower is offered less favorable terms than another borrower), the following requirements must be met:

6.1 A notice must be provided to the borrower explaining the reason for the adverse decision.
6.2 The notice must be provided in writing and must be mailed to the borrower within 3 business days of the adverse decision.
6.3 The notice must include a clear explanation of the reason for the adverse decision, including any protected attribute or proxy variables that were considered.
6.4 The notice must also include a copy of the Ashva Capital Fair Lending Standard and a contact point for further information.

7. Compliance and Monitoring

Ashva Capital will maintain a Compliance Officer who will be responsible for reviewing and monitoring fair lending activities on an ongoing basis. The Compliance Officer will also be responsible for:

7.1 Reviewing and approving all fair lending-related policies and procedures.
7.2 Conducting annual fair lending audits to ensure compliance with the Ashva Capital Fair Lending Standard.
7.3 Reporting any fair lending concerns or issues to the Chief Credit Officer.

8. Training and Education

All Ashva Capital employees who are involved in the credit decision-making process must complete fair lending training and education on an annual basis.

9. Effective Date and Amendments

This Ashva Capital Fair Lending Standard is effective as of [insert date] and may be amended from time to time. Any amendments will be communicated to all affected employees and will be posted on the Ashva Capital intranet.

10. Approval

This Ashva Capital Fair Lending Standard has been approved by the Chief Credit Officer on [insert date].